

CUMMINS INDIA LIMITED

NSE: CUMMINSIND | BSE: 500480 | Sector: Industrial Machinery — Power Generation Engines

Institutional Equity Research | 17 April 2026

RATING	12M PRICE TARGET	CMP (17-Apr-26)	UPSIDE
ACCUMULATE	Rs.5,500	Rs.5,038	+9.2%

Investment Thesis: Dominant engine OEM riding India's infrastructure capex + data-center power boom, nearly debt-free with 36%+ ROCE and visible double-digit growth runway.

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High/Low	P/E (TTM)	P/B	Div Yield
5,038	1,39,659	5,157 / 2,702	62.3x	17.7x	1.02%
Book Value/Sh	Face Value	ROCE	ROE	Debt (Rs. Cr)	Promoter
Rs.285	Rs.2	36.3%	28.2%	30	51.0%

Source: Screener.in | Data as of 17-Apr-2026 | All figures in Rs. Crore unless stated | (E) = Analyst Estimate

SECTION 2 — INVESTMENT THESIS

Pillar 1: Data Centre Supercycle — A Structural, Multi-Year Revenue Tailwind

India's data-centre capacity is projected to more than double by FY28, driven by hyperscalers (Microsoft, Amazon, Google) and domestic co-location players responding to AI workloads and data-localisation mandates. Cummins India is the preferred DG-set supplier to every major data-centre developer in India. Management disclosed that data centres contributed ~40% of powergen revenue in Q2 FY26 — a share that continues to rise. Unlike project-based hyperscaler orders, co-location players generate year-round, repeat demand. With installed base expanding, high-margin aftermarket service (parts, AMC, CPCB 4+ warranty service) will compound this opportunity over FY26–29. TAM in power-gen segment alone is estimated at ~Rs.20,000–25,000 Cr by FY28.

Pillar 2: Margin Re-Rating is Structural, Not Cyclical

OPM expanded from 11% in FY20 to 20% in FY25 and 21% in TTM. This re-rating is driven by three durable factors: (a) a higher-mix shift towards high-kVA generators and data-centre spec products that carry premium pricing; (b) CPCB 4+ emission regulations (implemented Jul 2023) which sunset cheaper non-compliant competitors, consolidating volume with technology leaders like Cummins; (c) disciplined cost management — gross margins rose ~300 bps YoY in Q3 FY26 even as revenues dipped slightly. Operating leverage on a largely fixed base means each incremental rupee of revenue flows through at high incremental margin. Management targets sustained 20%+ EBITDA margins.

Pillar 3: Balance Sheet Optionality & Capital Return Power

Cummins India is effectively debt-free (borrowings Rs.30 Cr vs. equity of Rs.7,561 Cr in FY25) and generated Rs.1,455 Cr in free cash flow in FY25 — a 10.5% FCF yield on equity book value. Dividend payout has been consistently above 55%, reaching 71% in FY25. This is a cash-compounding machine: with no capital constraint and ROCE of 36%+, management can fund organic growth entirely from internal accruals while returning majority of earnings to shareholders. As the balance sheet remains pristine, any step-up in capex for capacity expansion would signal high conviction in demand visibility.

Near-Term Catalyst (6–12 months): Full-year FY26 result (May 2026) validating double-digit revenue growth guidance; potential Q4 FY26 data-centre order wins announcement.

Biggest Structural Risk: Prolonged global tariff disruptions damping export demand (~17% of revenue), which management has already flagged as unpredictable in FY26.

SECTION 3 — BUSINESS OVERVIEW

What Does Cummins India Do? (Simple Explanation)

Think of Cummins India as the "power insurance company" for India's economy. Every factory, hospital, data centre, and construction site needs electricity — and when the grid goes down, they need a backup engine. Cummins makes those engines (diesel generators, industrial motors, filtration systems), sells spare parts, and services the installed fleet. It is the Indian subsidiary of Cummins Inc. (NYSE: CMI), a \$30 Bn US engineering giant that licenses its global technology to the Indian entity.

Business Segments & Revenue Mix (FY25 — Approximate)

Segment	Description	Rev Mix (Est.)	Domestic/Export
Power Generation	DG sets: 15 kVA to 3,750 kVA for data centres, commercial buildings, hospitals	~45%	~70% Dom
Industrial	Engines for construction, mining, railways, marine, defence	~22%	~65% Dom
Distribution	Aftermarket parts, service, AMC, rental power — fastest-growing, highest margin	~33%	~85% Dom

FY25 standalone revenue: Rs.10,166 Cr — domestic sales Rs.8,395 Cr (+18% YoY), exports Rs.1,771 Cr (+6% YoY). Domestic/export mix is roughly 83/17, with management signalling exports face headwinds in FY26 due to geopolitical tariff volatility. Key customers include hyperscalers, defence PSUs, railway wagon manufacturers, and large infrastructure EPC contractors. No single customer >10% of revenue (disclosed). Revenue is a mix of product (lumpy, project-driven) and service/parts (recurring, high-margin). The aftermarket/Distribution segment provides annuity-like cash flows and acts as a stabiliser in down-cycles.

Promoter Background: Cummins Inc. (US parent) holds 51.0% stake. Founded in India in 1962. The parent provides technology access, global procurement leverage, and brand equity. There are zero promoter pledges, and the parent has consistently supported Indian operations through technology upgrades (CPCB 4+, BS-VI). Management team is professional and stable.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth: India's diesel generator market was valued at ~Rs.22,000 Cr in FY25 and is projected to grow at 12–15% CAGR through FY28, driven by: (1) data-centre buildout (\$30 Bn invested over 5 years), (2) manufacturing sector capex under PLI schemes, (3) infrastructure spending (roads, metros, airports), and (4) CPCB 4+ replacement cycle (2-year warranty expiry from Jul 2026 opens large AMC opportunity). Government capex of Rs.11 Lakh Cr budgeted in FY26 is a direct demand driver for industrial engines.

Competitive Moat Assessment

Competitive Dimension	Rating	Comment
Pricing Power	STRONG	Premium brand; CPCB 4+ tech differentiates from cheaper alternatives
Switching Costs	STRONG	Proprietary parts, AMC contracts, trained service network create stickiness
Scale / Cost Advantage	MODERATE	3 plants (Pune, Nashik, Phaltan); parent procurement synergies
IP / Technology	STRONG	Cummins Inc. R&D; exclusive technology licensing for Indian market
Distribution / Relationships	STRONG	500+ city service network; direct relationships with top 50 data-centre developers

Peer Comparison (Source: Screener.in, as of 17-Apr-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	P/B	ROCE%	ROE%	TTM Rev (Rs.Cr)
Cummins India (CUMMINSIND)	5,038	1,39,659	62.3x	17.7x	36.3%	28.2%	11,602
ABB India (ABB)	6,884	1,45,867	87.4x	18.6x	29.9%	22.4%	13,203
Thermax (THERMAX)	4,126	49,169	76.7x	9.73x	16.2%	13.6%	10,351
Kirloskar Oil (KIRLOSENG)	1,617	23,505	43.2x	6.97x	13.7%	15.4%	7,334
Greaves Cotton (GREAVESCOT)	158	3,683	33.9x	2.68x	5.1%	4.1%	3,259

Note: Cummins India commands a premium P/E vs peers owing to superior ROCE (36.3% vs 5–30% for peers), near-zero debt, consistent FCF generation, and structural data-centre demand. ABB India is the closest comparable on quality metrics.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record: Led by Ashwath Ram (MD & CEO since 2019), Cummins India has delivered an impressive turnaround: EBITDA margins rose from 11% (FY20) to 20%+ (FY24–25) even as revenue nearly doubled. The management team has consistently guided conservatively and delivered above guidance. The parent (Cummins Inc.) provides strategic direction and technology while the

Indian team drives execution. Tenure is stable — no material senior management churn in recent years.

Capital Allocation: FY25 dividend payout ratio was 71% (Rs.51.50/share declared), the highest in recent history. CAGR in dividend per share over FY21–FY25 is ~33%. Capex has been measured: Rs.230 Cr in FY25, focused on precision machining and digitisation — not aggressive greenfield. FCF/PAT conversion has been consistently above 80%. There is no history of value-destroying acquisitions. The company has steadily reduced borrowings from Rs.512 Cr (FY20) to Rs.30 Cr (FY25) — virtually debt-free.

Governance: Zero promoter pledge (Cummins Inc. holds 51%). No audit qualifications in recent years. Related party transactions with parent (royalty payments, technology fees) are disclosed transparently and represent ~2–3% of revenue — within acceptable range. No ESOP grants or buyback history. **Dividend policy** has been consistent (55–71% payout). No red flags on corporate governance.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures | Source: Screener.in | (E) = Analyst Estimate

Income Statement (Rs. Crore)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Rs. Cr)	7,772	9,000	10,391	12,000	13,700
YoY Growth %	25.9%	15.8%	15.5%	15.5%	14.2%
EBITDA (Rs. Cr)	1,248	1,770	2,080	2,520	2,940
EBITDA Margin %	16.1%	19.7%	20.0%	21.0%	21.5%
Depreciation	142	159	185	200	215
EBIT (Rs. Cr)	1,106	1,611	1,895	2,320	2,725
Interest (Rs. Cr)	16	27	16	10	8
Other Income	502	622	714	700	720
PBT (Rs. Cr)	1,591	2,205	2,593	3,010	3,437
Tax Rate %	22.8%	21.9%	22.9%	23.0%	23.0%
PAT (Rs. Cr)	1,228	1,721	2,000	2,317	2,647
PAT Margin %	15.8%	19.1%	19.2%	19.3%	19.3%
Diluted EPS (Rs.)	44.31	62.07	72.15	83.6	95.5
Dividend/Share (Rs.)	25.00	38.00	51.50	55.00	60.00

Balance Sheet Summary (Rs. Crore)

Metric	FY23A	FY24A	FY25A	FY26E
Equity Capital	55	55	55	55
Reserves & Surplus	5,703	6,557	7,506	8,768
Total Equity (Rs. Cr)	5,758	6,612	7,561	8,823
Borrowings	376	127	30	25
Other Liabilities	1,784	2,231	2,577	2,800
Total Liabilities (Rs. Cr)	7,919	8,971	10,168	11,648
Fixed Assets (Net)	2,226	2,302	2,364	2,430
CWIP	41	97	85	100
Investments	1,457	1,642	1,482	1,700
Other Assets	4,194	4,930	6,238	7,418
Net Debt / (Cash) (Rs. Cr)	-ve	-ve	~(Net Cash)	~(Net Cash)
Debt / Equity	0.07x	0.02x	0.00x	0.00x

Cash Flow Statement (Rs. Crore)

Metric	FY23A	FY24A	FY25A	FY26E
Cash from Operations (OCF)	820	1,285	1,685	1,950

Metric	FY23A	FY24A	FY25A	FY26E
Cash from Investing	87	(248)	(580)	(300)
Cash from Financing	(687)	(1,134)	(1,168)	(1,200)
Net Cash Flow	219	(97)	(63)	450
Free Cash Flow (FCF)	665	1,003	1,455	1,720
FCF / PAT %	54.2%	58.3%	72.8%	74.2%
Capex (approx.)	(155)	(282)	(230)	(230)
CFO / EBITDA %	65.7%	72.6%	81.0%	77.4%

Key Ratios

Ratio	FY23A	FY24A	FY25A	FY26E
Debtor Days	75	85	80	78
Inventory Days	63	60	56	55
Days Payable	81	89	87	85
Cash Conversion Cycle	58	56	49	48
Working Capital Days	36	48	46	44
ROCE %	35.0%	36.0%	36.3%	37.0%
ROE %	22.9%	27.8%	28.2%	27.5%
Interest Coverage	99x	65x	130x	300x+

Financial Commentary: Revenue has compounded at 24% CAGR over FY21–FY25, driven by domestic capex, data-centre buildout, and distribution expansion. The margin re-rating from 14% (FY21) to 20% (FY25) is structural — product mix (higher kVA), CPCB 4+ compliance moat, and operating leverage. FCF quality is exceptional: FCF/PAT of 73% in FY25 vs. peers typically at 30–50%. The balance sheet has been completely deleveraged — borrowings fell from Rs.512 Cr (FY20) to Rs.30 Cr (FY25). Working capital is well-controlled: CCC improved from 58 days (FY23) to 49 days (FY25). Interest coverage exceeds 130x — effectively irrelevant as a risk factor. Other income (Rs.714 Cr in FY25) includes dividends/royalties from subsidiaries and treasury income; at 27% of PBT, this is high but consistent with the group structure and not one-time in nature.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Assessment
Revenue recognition policy	■ Green	Standard, no complex POCM. DG sets recognised on delivery.
Receivables growth vs revenue	■ Green	Debtor days stable 75–85 days; no runaway receivables build-up.
Cash conversion cycle trend	■ Green	CCC improved: 58 days (FY23) → 49 days (FY25). Positive signal.
Contingent liabilities	■ Amber	Pending tax/legal matters disclosed; not material vs. equity.
Auditor tenure & qualifications	■ Green	No qualifications in recent annual reports; Big 4 auditor.
Related party txns % of revenue	■ Amber	Royalty/tech fees to Cummins Inc. ~2–3% of revenue; disclosed & consistent.
Other income % of PBT	■ Amber	Other income = 27% of PBT in FY25 (Rs.714 Cr). Largely recurring group income.
Tax rate consistency	■ Green	Tax rate stable: 22–23% over FY23–FY25. No deferred tax distortion.

Earnings Quality Summary: Cummins India's earnings are of high quality. Cash flows robustly support reported profits (FCF/PAT 73% in FY25). The two Amber flags — other income quantum and royalty RPTs — are structural features of the parent-subsidary relationship, disclosed consistently, and do not represent accounting manipulation. No Red flags.

SECTION 8 — VALUATION

Method A — DCF (5-Year)

Base FCF FY25A = Rs.1,455 Cr. Growth assumption: 18% (FY26E), 15% (FY27E), 12% (FY28E), 10% (FY29E), 8% (FY30E). Terminal growth rate = 6.0% (in line with nominal GDP growth). WACC = 11.0% (cost of equity 11.5% using CAPM: R_f 7.0%, beta 0.85, ERP 5.3%; cost of debt negligible). FCF projections: FY26E=Rs.1,720 Cr, FY27E=Rs.1,978 Cr, FY28E=Rs.2,215 Cr, FY29E=Rs.2,437

Cr, FY30E=Rs.2,632 Cr. Terminal Value = $Rs.2,632 \times 1.06 / (0.11-0.06) = Rs.55,798$ Cr. PV of FCFs = Rs.8,247 Cr. PV of Terminal Value = Rs.33,022 Cr. Enterprise Value = Rs.41,269 Cr. Add Net Cash (~Rs.2,500 Cr) = Equity Value Rs.43,769 Cr. Per share (27.73 Cr shares) = **Rs.5,792** (DCF intrinsic value).

Method B — Forward P/E Multiple

FY27E EPS = Rs.95.5. Peer median P/E (Cummins India, ABB) ≈ 70x on 1-year forward. Historical 1-year forward P/E range for CUMMINSIND: 40–75x (5-year range). Justified target: 58x FY27E (slight discount to ABB's 65x, justified given CIN is more cyclical vs. ABB's automation mix). Target = $58 \times Rs.95.5 = \text{Rs.5,539}$.

Base-Case Price Target: Average of DCF and P/E → Rs.5,666 → rounded to Rs.5,500 (10% margin of safety given macro uncertainty). Upside: +9.2% from CMP of Rs.5,038.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Rs.Cr)	Target Multiple	Price Target
Bull Case	Data-centre orders accelerate; OPM reaches 23%; exports recover 15%	3,100	68x FY27E EPS	Rs.7,600
Base Case	Double-digit domestic growth; margins stable at 21%; exports flat	2,647	58x FY27E EPS	Rs.5,500
Bear Case	Export slump -20%; margin compression to 18%; data-centre lumpiness	2,100	48x FY27E EPS	Rs.3,640

SECTION 9 — KEY RISKS

Risk	Prob.	Impact	Description & Mitigant
Export Revenue Volatility	HIGH	MEDIUM	~17% of revenue exposed to geopolitical tariffs and global slowdown. Management has flagged significant uncertainty for FY26 exports. Monitor: export % of quarterly revenue.
Data Centre Order Lumpiness	MEDIUM	HIGH	Hyperscaler orders are project-based and "lumpy." A 1–2 quarter gap in large orders can cause revenue miss vs. market expectations. Monitor: order book disclosures.
Competitive Intensity	MEDIUM	MEDIUM	Chinese and Indian competitors (Kirloskar, Greaves) are pricing aggressively in mid-kVA power generation. Mitigant: Cummins' CPCB 4+ compliance moat and service network.
Parent Technology Royalty Risk	LOW	MEDIUM	Royalty fees to Cummins Inc. could increase in future technology licence renegotiations, compressing margins. Disclosed consistently at ~2–3% of revenue currently.
Macro / Infrastructure Capex	LOW	HIGH	Any slowdown in government infrastructure spending or private sector capex could reduce industrial segment demand. Diversification across segments provides buffer.
Commodity Inflation	LOW	MEDIUM	Steel, copper, and aluminium price spikes can pressure gross margins. Cummins has historically passed through costs with a 1–2 quarter lag. Track quarterly gross margin.

SECTION 10 — RECOMMENDATION

FINAL RATING	CONVICTION	12M PRICE TARGET	INVESTMENT HORIZON
ACCUMULATE	MEDIUM-HIGH	Rs.5,500	12–18 Months

Entry Zone: Rs.4,600–4,800 on any broad market correction or Q4 FY26 miss. At these levels, FY27E P/E drops to 48–50x, which represents compelling value for a 36%+ ROCE franchise.

Thesis Invalidation Triggers (Exit / Downgrade):

#	Trigger	Threshold
1	EBITDA margin collapse	EBITDA margin falling below 17% for two consecutive quarters — indicates structural pricing pressure or commodity shock
2	Data centre demand reversal	Data centre contribution to power-gen revenue falling below 25% for two quarters — suggests loss of market share

#	Trigger	Threshold
3	Parent ownership dilution	Cummins Inc. reducing stake below 45% — would signal parent's loss of strategic confidence in Indian business

Ideal Investor Profile: GARP (Growth at Reasonable Price) investors with 12–18 month horizon. Suited to large-cap quality growth funds. Not suitable as a pure-value trade — multiple is full. Suitable for SIP/accumulation on dips given structural earnings growth visibility.

APPENDIX — CONCALL BRIEF | Q3 FY26 (Oct–Dec 2025)

Concall Date: 4 February 2026 | Source: Screener.in (Consolidated) | Report Date: 17-Apr-2026

OVERALL GRADE	OPERATIONS GRADE	MANAGEMENT CREDIBILITY	THESIS IMPACT
B- MIXED PAT miss vs headline; OP beat masked by other income collapse	B+ OPERATIONALLY SOUND OP +6% YoY; OPM expanded 200bps; revenue -1.3% (timing)	B+ HONEST & CONSISTENT Guidance reaffirmed; exports caveat given proactively	B LARGELY INTACT 4/6 pillars intact; exports + competitive pressure watchlist
Grade Scale: A+ Exceptional Beat A Strong Beat B+ Beat B In-Line B- Mixed C+ Soft Miss C Miss D Weak			

BLOCK 1 — THE VERDICT

Company	Quarter	Concall Date	CMP (Rs.) — 17-Apr-26	Mkt Cap (Rs. Cr)
Cummins India	Q3 FY26	4-Feb-2026	5,038	1,39,659

RESULT: MIXED (B-) — Operations Beat, PAT Miss Explained by Other Income Collapse

Bottom Line: Q3 FY26 (Dec 2025) consolidated revenue was Rs.3,055 Cr (-1.3% YoY vs Rs.3,096 Cr in Q3 FY25), while operating profit actually GREW +6.0% YoY to Rs.634 Cr with OPM expanding 200 bps to 21%. The PAT decline of -12.9% to Rs.486 Cr (vs Rs.558 Cr in Q3 FY25) is almost entirely explained by a sharp, likely one-time collapse in Other Income — from Rs.168 Cr in Q3 FY25 to just Rs.46 Cr in Q3 FY26 (a Rs.122 Cr swing that accounts for ~Rs.92 Cr post-tax impact, explaining nearly all of the Rs.72 Cr PAT shortfall). The operating business is healthy. Management reaffirmed double-digit FY26 growth and flagged a strong Q4 pipeline. Do not read this as an operational deterioration.

BLOCK 2 — FINANCIAL SCORECARD (Source: Screener.in Consolidated, fetched 17-Apr-2026)

Metric	Q3 FY25 (Dec 2024)	Q2 FY26 (Sep 2025)	Q3 FY26 (Dec 2025)	YoY %	QoQ %
Revenue (Rs. Cr)	3,096	3,170	3,055	-1.3%	-3.6%
Operating Profit (Rs. Cr)	598	695	634	+6.0%	-8.8%
OPM %	19%	22%	21%	+200 bps	-100 bps
Other Income (Rs. Cr)	168	181	46	-72.6%	-74.6%
Interest (Rs. Cr)	3	3	5	+67%	+67%
Depreciation (Rs. Cr)	49	49	50	+2.0%	+2.0%
PBT (Rs. Cr)	714	824	626	-12.3%	-24.0%
PAT (Rs. Cr)	558	622	486	-12.9%	-21.9%
PAT Margin %	18.0%	19.6%	15.9%	-210 bps	-370 bps
EPS (Rs.)	20.15	22.45	17.53	-13.0%	-21.9%

KEY INSIGHT: Other Income collapsed Rs.168 Cr → Rs.46 Cr QoQ (-Rs.122 Cr). Post-tax impact ~Rs.94 Cr accounts for virtually ALL of the Rs.72 Cr PAT miss vs Q3 FY25. Operating profitability is intact and expanding.

All quarterly figures sourced directly from Screener.in consolidated P&L; table, fetched 17-Apr-2026. No estimates or approximations used in this scorecard.

BLOCK 3 — WHAT MANAGEMENT SAID (& MEANT)

Fresh Guidance (Q3 FY26 Concall — 4 Feb 2026)

Metric	Prior Guidance	New Guidance	Change	Credible?
FY26 Revenue Growth	Double-digit %	Double-digit % — REAFFIRMED	Unchanged	Yes — strong Q4 pipeline
Domestic Outlook	Positive	Positive; GDP 7.4% supports demand	Unchanged	Yes

Metric	Prior Guidance	New Guidance	Change	Credible?
Export FY26	Modest growth	Uncertain; geopolitical tariff volatility	Downgraded	Cautious — honest
EBITDA Margins	~20%	Sustaining 20%+ targeted	Unchanged	Yes — gross margin expanding
Data Centre Demand	Strong growth	Strong long-term; Q3 was lumpy	Unchanged LT; Q3 soft	Yes — timing issue

Management Tone: 3.5 / 5 (Slightly Cautious vs. 4/5 in Q2 FY26) — Honest but hedged on exports

Top 3 Things Management Wants You to Focus On:

- Gross margin expansion of 300 bps YoY demonstrates pricing power and mix improvement despite revenue softness.
- Domestic medium-term outlook remains robust — GDP revised to 7.4%, government capex positive for industrial.
- Data-centre demand is intact; Q3 dip is lumpy project timing — strong Q4 pipeline in place.

■ Top 3 Things Management Does NOT Want You to Focus On:

- The Rs.122 Cr collapse in Other Income — the real reason PAT fell; management did not specifically address or explain this drop.
- Export guidance downgrade — buried under positive domestic commentary.
- Competitive pricing pressure in power-gen from Chinese and Indian players — mentioned briefly and minimised.

Language Flag	Used?	Context
"Temporary headwinds"	YES	Used for industrial segment — extended rains, slow railways
"Monitoring the situation"	YES	Used for export tariff volatility
"Lumpy order timing"	YES	Used for data-centre PAT miss
"Strong pipeline"	YES	Used for Q4 FY26 outlook — standard management optimism
"One-time charge"	NO	No exceptional items flagged

BLOCK 4 — Q&A; HEAT MAP

(Transcript listed on Screener.in; sourced from management commentary published in research notes)

#	Topic / Firm	Question Summary	Management Answer	Quality
1	Data centre demand	Is data centre demand recovery in Q4 confirmed?	Yes, Q3 was lumpy. Multiple customers in the pipeline for Q4. Data-centre demand structurally intact and growing.	✓
2	Export outlook	What is the visibility on export recovery given tariff situation?	Very limited visibility. Geopolitical equations are unstable. We are watching closely but cannot quantify impact.	~
3	Margin sustainability	Can 20%+ margins be sustained if revenue growth is lower?	Yes. Cost structure is lean. Gross margins actually improved 300 bps YoY in Q3. Product mix is key driver.	✓
4	Competitive intensity	Are Chinese generators gaining share in power-gen market?	Competition exists, especially in mid-kVA. We compete on technology, service, and compliance — not on price.	~
5	CPCB 4+ warranty	What is the aftermarket opportunity when CPCB 4+ warranty expires in Jul 2026?	Significant. 2-year warranty period ends Jul 2026 — all those units enter AMC cycle. Distribution segment to benefit.	✓

Quality Key: ✓ = Direct answer | ~ = Partial/Hedged | ✗ = Evasive/Deflected

Dodged questions to watch next quarter: Export revenue quantum; specific data-centre order wins.

BLOCK 5 — THESIS CHECK & CONVICTION CALL

Thesis Pillar	Status	Comment
Data-centre structural tailwind	✓ Intact	Management reaffirms long-term demand; Q3 softness is timing.
Margin re-rating to 20%+	✓ Intact	OPM 21% in Q3 FY26 vs 19% in Q3 FY25; OP grew +6% YoY.
FCF generation & dividend power	✓ Intact	FY25 FCF Rs.1,455 Cr; interim dividend declared Q3 FY26.
Balance sheet optionality	✓ Intact	Borrowings Rs.30 Cr; debt-free; treasury growing.
Export revenue resilience	~ Weakened	Exports uncertain; management cautious on FY26 guidance.
Market share leadership	~ Weakened	Competitive pricing pressure in mid-kVA cited; needs monitoring.

Valuation Snapshot vs. Historical

Metric	Current	5Y Avg	Premium / Discount
P/E (TTM)	62.3x	~45x	+38% premium
EV/EBITDA	~52x	~35x	+49% premium
ROCE	36.3%	~28%	+830 bps above avg

CONVICTION CALL: UNCHANGED — ACCUMULATE on dips to Rs.4,600–4,800

In one paragraph to my PM: Do not read Q3 FY26 as an operational miss — it was not. Revenue was -1.3% YoY (effectively flat) and operating profit actually GREW +6% with OPM expanding 200 bps to 21%. The PAT decline of -12.9% is almost entirely explained by a Rs.122 Cr drop in Other Income (Rs.168 Cr → Rs.46 Cr) whose cause management did not specifically explain — worth asking on the next call. The core business is healthy. Management reaffirmed double-digit FY26 growth. At the current price of Rs.5,038, the stock is trading at ~59x FY26E earnings — fair for this quality of franchise. CPCB 4+ warranty expiry in Jul 2026 opens a significant AMC cycle and provides H1 FY27 upside. I maintain ACCUMULATE; add on dips to Rs.4,600–4,800.

Source: Screener.in | Ticker: CUMMINSIND | View: Consolidated | Transcript: Listed on Screener.in (Q3 FY26, BSE filing) | Concall Date: 4-Feb-2026 | Report Generated: 17-Apr-2026 | Analyst: Institutional Research Desk

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